

9708/m/j/19 qp 32

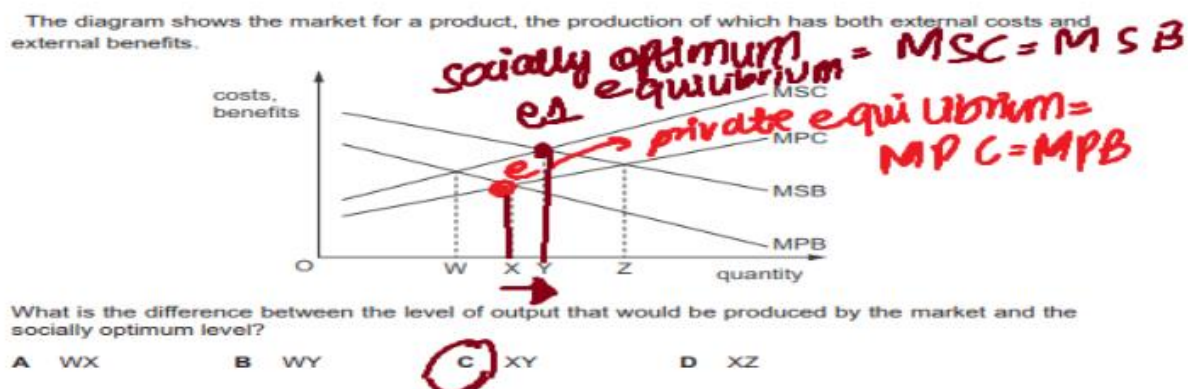
1-C:

A and B: In a command economy, most of the resources are owned by the government who also takes production decisions.

C: In a market economy, prices play a crucial role in signaling the value of resources, guiding allocation and decision-making. This explains why key C is correct.

D: In a market economy, resources are allocated by individuals and firms are responding to market signals (prices), not by a central planner.

2-C:



3-D:

The government is considering building flood defences along a river. It has calculated the costs and benefits as follows.

government CBA analysis → approve projects where $SB > SC$

	costs \$m	benefits \$m
* private	450	260
* external	60	190
* social	510	450

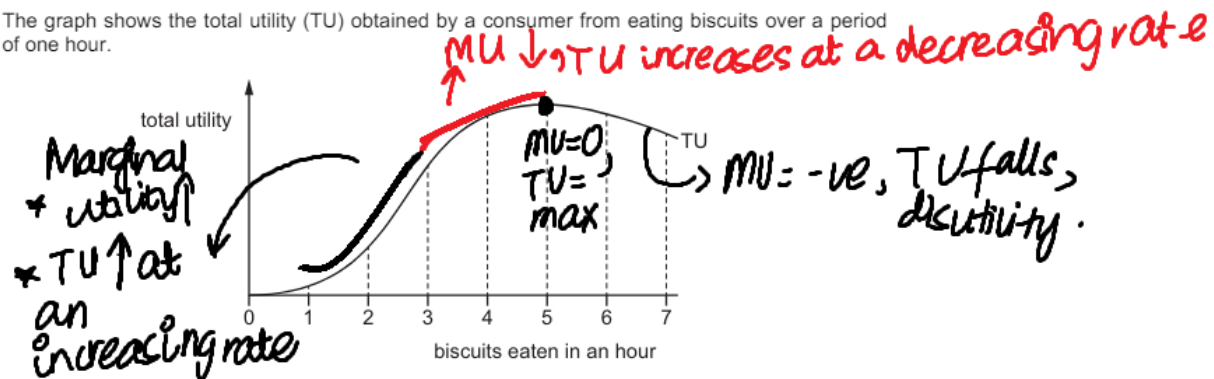
** social SC 510, SB 450 → $SB < SC$ ⇒ don't build*

According to cost-benefit analysis, which decision and reasoning about flood defences is correct?

	decision	reasoning
A	build	external benefits are greater than external costs
B	build	social benefits are greater than private benefits
C	do not build	private costs are greater than the external benefits
D	do not build	social costs are greater than the social benefits

4-A:

The graph shows the total utility (TU) obtained by a consumer from eating biscuits over a period of one hour.

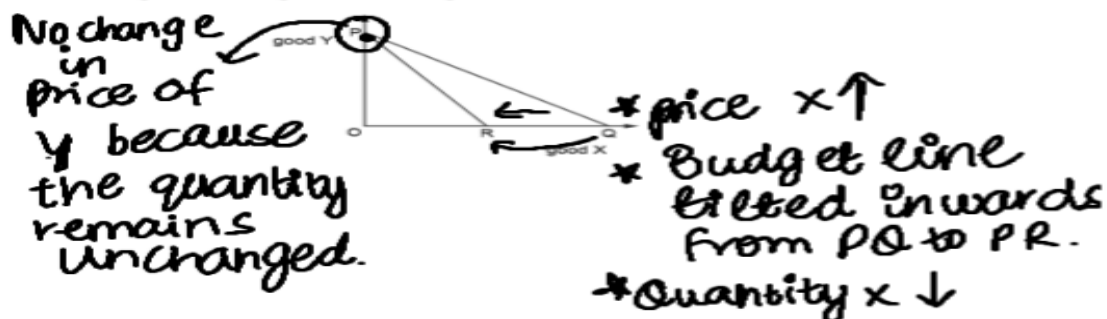


After eating how many biscuits does the consumer's marginal utility begin to diminish?

- (A) 3 B 4 C 5 D 6

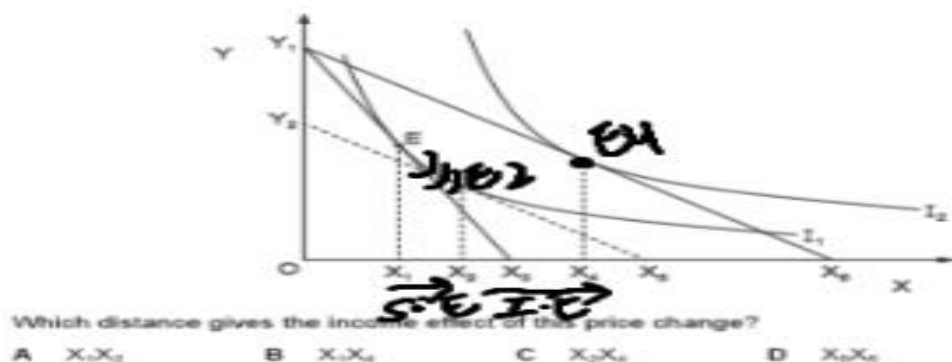
5-C:

35 The diagram shows budget lines for normal goods X and Y.



- Apart from a rise in price of X, which causes a contraction in qty demanded of X, there is no change in price of Y, because the qty remains unchanged. And most importantly, the level of consumer incomes has remained unchanged, because if this would have changed, there would have been a shift in the budget line, either to the right or the left.

6-C:



A – Movement along the indifference curve, which results in an extension in qty demanded from X_1 to X_2 represents the substitution effect, therefore it can be said that “ X_1X_2 ” represents the substitution effect.

B – X_1X_4 represents the “total effect”, which comprises of both, the income effect and the substitution effect.

C – X_2X_4 represents the “income effect”, since it is obtained after we subtract the substitution effect from the total effect. This can be seen in the diagram above.

D – This is incorrect because X_5X_6 represents the “shift in the budget line”

7-C:

A: Total qty divided by the qty of variable factor employed does not define “average variable cost”

B: Total variable cost divided by the qty of the variable factors employed does not generate “average variable cost”

C: Average variable cost is “total variable cost divided by the qty /output produced”. This is why, key C, becomes correct.

D: The addition to the total variable cost by producing one more unit of output does not represent average variable cost.

8-B:

A,C, D: The level of stock held by firms, the market price of the good and the output of individual firms in the industry are all in the control of the firm, and can be changed.

B: The level of technology available cannot change, as in the short-run, capital remains fixed.

9-D:

A – When the market structure changes from oligopoly to monopolistic competition, the market control of firms falls, and so, the individual firm’s ability to influence the market price falls too.

B – Feeling of mutual interdependence among firms will also fall when the market structure changes from an oligopoly to monopolistic competition.

C – The concentration ratio, which represents the market structures of the largest firms in the industry, will also fall.

D – The number of firms will increase. This is because the number of firms may have risen from 4-5 large firms to 20-25 small firms as the market structure changes from monopolistic competition to an oligopoly.

10-D:

A firm has total production cost of \$200,000. Its average fixed cost is \$120 and its average variable cost is \$80.

What are the firm's total fixed costs?

Options: A \$12,000 B \$40,000 C \$80,000 D \$120,000

Step #1:

$$ATC = AFC + AVC$$

$$FC = 120 + 80$$

$$\frac{FC}{Qty} = 200$$

$$\frac{120,000}{Qty} = 200$$

$$Qty = 1000$$

Total fixed cost = $AFC \times Qty$

$$120 \times 1000 = 120,000$$

Answer: D \$120,000

11-B:

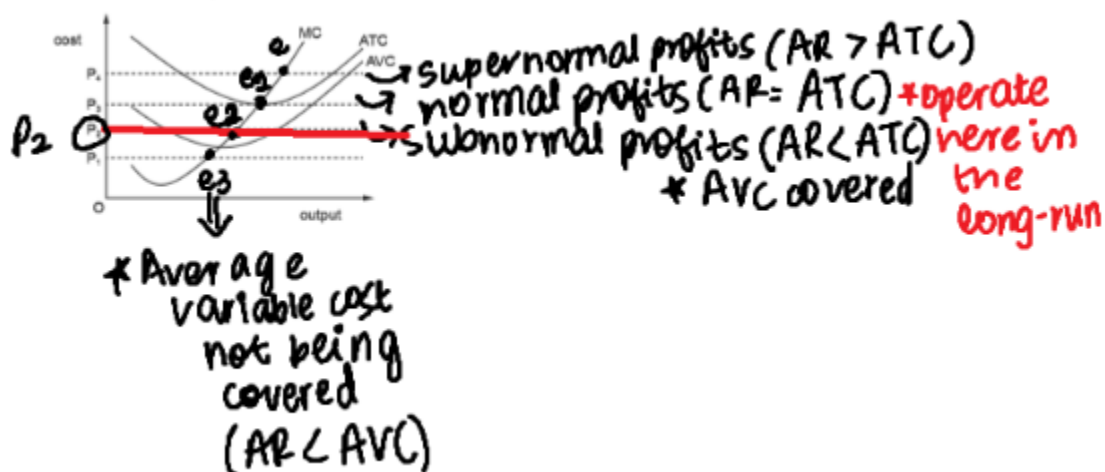
A – This is incorrect because monopolistic competition earns normal profits in the long-run.

B – The main characteristic of monopolistic competition is the fact that there is product differentiation. One way this can be done is through advertising. This explains why key B is correct.

C – It is perfect competition and not monopolistic competition where all firms charge the same price.

D – Monopolistic competition faces very less or no barriers to entry and exit.

12-B: In the short-run, a firm will operate when its Average variable costs are being covered, but in the long-run, a firm will not operate when its Average total costs are not being covered, or in other words, normal profits are not being made.



A – When a price of P_1 is charged, this represents a situation whereby Average variable costs are not being covered. This means that neither the firm will operate here in the short-run, nor will it operate here in the long-run

B -- As can be seen above, that in the short-run, since the firm's objective is to cover the Average variable cost, it will operate even when sub-normal profits are made (as in case of P_2 , where Average revenue is lesser than Average total cost), because Average variable cost has been covered. But, in the long-run, it would not be operating here because its objective in the long-run is to cover the complete Average total cost, or in other words , make a normal profit. This is why, the long-run equilibrium is established when “normal profits” ($AR=ATC$) are being made. As a result, key B, becomes correct.

C - At P_3 , normal profits are being made, that is where the firms will be operating in the long-run. This is why, key C, will be incorrect

D - In the short-run supernormal profits (at P_4) may be made, but in the long-run, firms will enter after being attracted to these supernormal profits, and when supply rises, and price falls, such that the new $AR(\text{price})= ATC$, eventually, normal profits will be made.

13-D:

A: The table shows that direct taxation reduced the average income of the richest more than they benefitted the poorest as they have faced a reduction in their incomes by 17000 pounds (from £85,000 to £68,000), compared to an increase of 6000 from £7,000 to £13,000 for the poorest 20%.

B: Income equality was not achieved, as the richest 20% still have a significantly higher average income than the poorest 20%.

C: The table doesn't suggest that all income taken from the rich was redistributed to the poor.

D: The government's policy did reduce income inequality, as the gap between the richest and poorest households decreased after taxation and benefits (from £78,000 to £46,000). This is why, this becomes correct.

14-B:

A – Where Average revenue is equal to average costs, this represents that normal profits are made.

B – When marginal cost is equal to Average revenue (price), this represents that there will be allocative efficiency that will maximize social welfare. This is why, this is correct.

C – Where marginal revenue is equal to marginal cost, this represents profit maximizing level of output.

D – Where $MR=0$, this represents the level of output where sales revenue is maximized.

15-D:

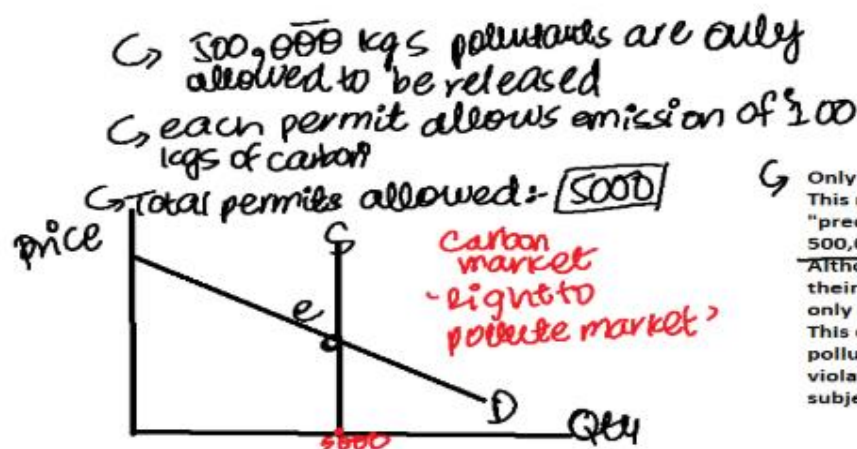
A – Generally both of them incur costs; therefore, they may not be explicit forms of financial incentives like subsidies.

B – This is incorrect because pollution permits require “monitoring” and “enforcement” to ensure that the firms are polluting only the amount, which they have been allowed, based on the permits available with the firm.

C – This is incorrect as pollution permits cannot reduce the pollution to “zero”

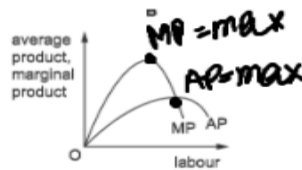
D – This is correct because the reduction in the level of pollution is more predictable.

This is shown through the diagram below:



Only 5000 permits are available. This means that the government has “predicted an expected pollution level of 500,000 kgs”. Although, those who pollute less, can trade their permits, but the total qty available will only be “5000”. This can also ensure that only this level of pollution is occurring, because those who violate will be subject to “fines” and legal action.

16-B:



It is the "marginal product of labour" which reaches its maximum the first.

Regardless of whether marginal itself is rising or falling, the average product of labour continues to rise or slope upwards, as long as the marginal product of labour is above it, or greater than it.

Similarly, the average product of labour falls as soon as the marginal product of labour is lesser than the average product of labour, this is why, the intersecting point of marginal and average represents the "maximum of average"

Therefore, the API is the second to reach the maximum.

17-D:

A – Here the short-run relationship is examined, and increasing returns to scale or economies of scale" is experienced only in the "long-run"

B_ Here the short-run relationship is examined, and constant returns to scale is only experienced in the "long-run"



Stage A: Marginal product of labour (MP) increases, which is why total output increases at an "increasing rate"

Stage B: Marginal product of labour falls, which is why total output rises at a "decreasing rate"

Stage C: Total output is at its maximum because "marginal product" is zero.

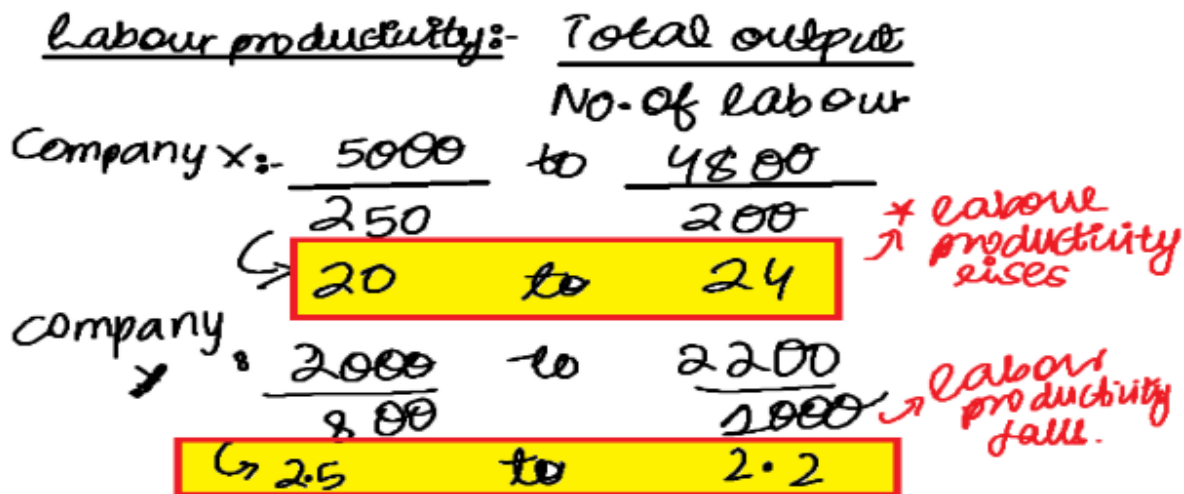
C: It can be seen above that the Total product diagram explains three phases, one is when the marginal product of labor increases, the other is when the marginal product of labor diminishes, and the last is when the marginal product is zero. Therefore, except this data, we do not have information about whether the marginal product of labor is "constant" or not

D: As more units of labor are employed, there comes a point where the efficiency of labor starts to diminish. The marginal product of labor begins to decline, indicating that each additional unit of labor contributes less to the total output, and as a result of which, total product increases at a diminishing rate or decreasing rate.

The diminishing marginal product of labor is a manifestation of the Law of Variable Proportions. It highlights that in the short run, increasing the quantity of labor beyond a certain point will eventually lead to diminishing returns. This occurs due to factors such as limited space, inadequate supervision, or bottlenecks in the production process, which constrain the efficiency and effectiveness of additional labor.

This is why, key D, becomes correct.

18-B:



This explains why, key B, will be correct.

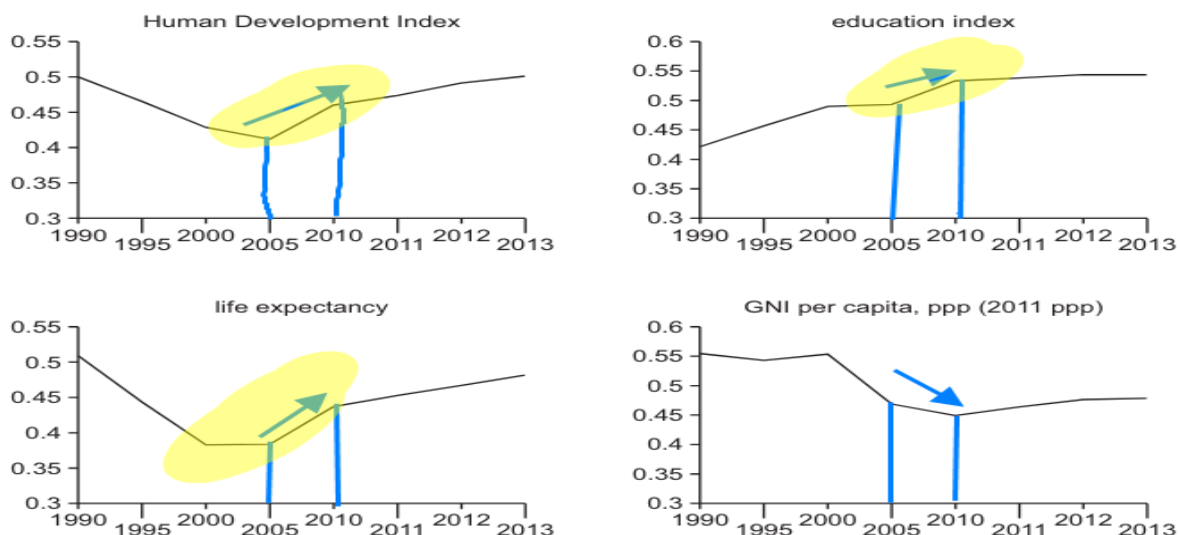
19-A:

A: Age related pensions represent transfer payments which are payments made without goods or services being received in exchange; they are not included in the measurement of national income because they have no contribution in the GDP of the economy.

B, C and D: Dividends obtained from foreign investments, housing authorities' income from rents and profits distributed to shareholders represent outcomes arising from economic activities, and so, they will be included in the measurement of national income.

20-B:

20 The graphs show the Human Development Index and its component parts for Zimbabwe.



It can be seen in the diagram above that **education and life expectancy** have comparable changes to the **overall change in the HDI**.

This explains why key B will be correct.

21-A:

A - When labor productivity (output per hour worked) increases, it means that each worker is producing more. However, if the number of workers (employment) also increases, the total output will grow faster than the increase in productivity.

$$\uparrow \text{labor productivity} \Rightarrow \frac{\text{Real national output}}{\text{employment}} \uparrow$$

denominator also increasing

B: An increase in the inflation rate may bring about a fall in the real national income.

C: An increase in the money supply can lead to inflation because monetarists believe that a rise in money supply will bring the same proportionate increase in price level (reference, qty theory of money), which may bring about a fall in real national income.

D: An increase in total earnings is a result of increased output, not a cause of it.

22-B:

10

- 22 The table shows the annual percentage (%) change in China's GDP and the contribution of some of its component parts between 2006 and 2012.

?	2006	2007	2008	2009	2010	2011	2012
GDP	12.7	14.2	9.6	9.2	10.4	9.3	7.7
consumption	5.1	5.6	4.2	4.6	4.5	5.2	4.2
investment	5.5	6.0	4.5	8.1	5.5	4.5	3.9
net exports	2.1	2.6	0.9	-3.5	0.4	-0.4	-0.4

★ *balanced trade*
What can be concluded about China's economy between 2006 and 2012?

- A China's current account was in surplus more years than it was in deficit. ✗
- ☒ B China's economic rate of growth fell in more years than it rose.
- C China's growth was greater overall in consumer goods than in capital goods.
- D China's standard of living rose at a decreasing rate.

A – We are only given information on net exports and balance of trade in goods and services is only one out of three components of current account as it also includes data pertaining to primary incomes and secondary incomes. Therefore, we cannot deduce this based on the given information.

B – It can be seen in the diagram above that China's rate of economic growth fell in four years which is greater than the years in which it rose (it only rose in 2 years). This explains why key B is correct.

C – The overall growth rate is greater overall in capital goods than in consumer goods since the overall percentage increase in investment is greater than the overall percentage increase in consumption.

Overall % increase in consumption: $5.1\% + 5.6\% + 4.2\% + 4.6\% + 4.5\% + 5.2\% + 4.2\% \Rightarrow 33.4\%$

Overall % increase in investment: $5.5 + 6.0 + 4.5 + 8.1 + 5.5 + 4.5 + 3.9 \rightarrow 38\%$

D – Based on only data about gdp and its components, we cannot comment about changes in overall standard of living.

23-C:

A: A general decrease in the demand for goods and services represents a fall in Aggregate demand, and this subsequently indicates the **existence of cyclical unemployment**.

B: A lack of necessary skills in the workforce may indicate that workers are occupationally immobile because of which they cannot easily switch in between occupations when the structure of the economy is changing. This explains **structural unemployment**.

C: **Seasonal unemployment** occurs when businesses experience fluctuations in demand due to seasonal changes. This results in a fall in the demand for labor which is a derived demand in these months. For example, tourism workers may face a loss of jobs in periods of harsh weather. This is why, this becomes correct.

D: An unwillingness of workers to move to other parts of the country where there is work indicates geographical immobility, which can contribute to **structural unemployment**.

24-D:

S>I: YES

When savings (W) are greater than investment expenditures (J), this represents net leakages into the circular flow.

T>G: YES

When taxes (W) are greater than government spending (J), this represents net leakages into the circular flow.

X>M: NO

When export revenues(J) are greater than import expenditures(M), this represents net injections into the circular flow.

25-C:

25 In a closed economy with no government expenditure and no taxation, the initial income is \$5000 million. All savings are carried out by consumers, who save 20% of any additional income received above \$5000 million. Firms plan to invest \$1000 million.

What is the value of the multiplier?

- A 0.8 B 4 C 5 D 8

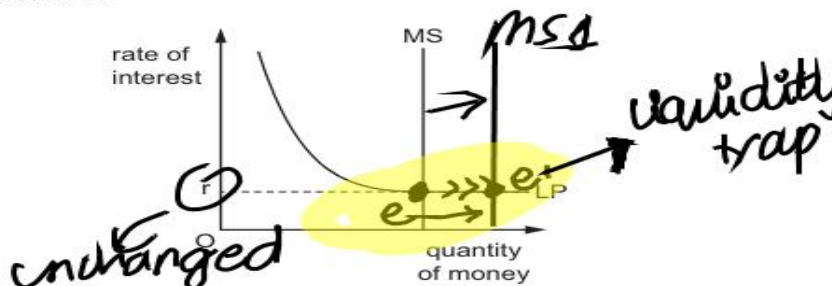
2 sector economy

$mps \Rightarrow 20\% \Rightarrow 0.2$

2 sector multiplier
 $\frac{1}{mps} \Rightarrow \frac{1}{0.2} \Rightarrow 5$

26-D:

The diagram shows a liquidity preference curve (LP) representing the demand to hold money in relation to the rate of interest and the money supply (MS) in an economy. The market is in equilibrium at interest rate r .



If the government increases the money supply, what will be the effect on the interest rate?

- A falls below zero
 B falls to zero
 C increases
 D no effect

In a liquidity trap, the demand for money is perfectly elastic. This occurs when interest rates are very low or near zero, and people hoard cash because they expect prices to fall or because they are extremely risk-averse.

As a result, when the government increases money supply, interest rate remains unchanged, as the increased money supply is merely absorbed as idle cash balances, rather than being used to finance new economic activity. In a liquidity trap, monetary policy becomes ineffective, and interest rates remain stuck at very low levels

This explains why key D is correct.

27-C:

A – An increase in business confidence would result in an increase in investment spending.

B – An increase in company's profits represents that there are higher retained profits available with a firm. These can be re-invested in the economy, leading to a rise in investment spending.

C – An increase in interest rates would bring about a rise in costs of borrowing, as a result of which, investment expenditure will fall. This is why, key C, becomes correct.

D – A rise in national income would bring about an increase in marginal propensity to invest. This is because, as per the accelerator effect, investment is a function of the rate of change in real income.

28-A:

There has been an increase in liquidity preference or demand for money from LP to LP1.

Because of an increase in real national income, there has been an increase in money demand for transactionary purposes.

Because of increased pessimism about the future of the economy, the precautionary demand for money increases.

29-A:

A: On account of inflation, businesses and consumers may seek relatively cheaper imports which brings about an increase in import expenditures. Contrary to this, export revenues fall because inflation makes a country's export-oriented goods more expensive and less competitive in the global market which brings about a contraction in export demand. This translates into a rise in deficit in the current account of BOP.

B: Inflation reduces the value of the fixed returns on bonds, making them less attractive to investors as a result of which demand for bonds falls, which drives down bond prices.

Also, bond prices are inversely related to interest rates. **Inflation causes interest rates to rise, decreasing the prices of existing bonds.**

C: The purchasing power of the currency would likely decrease, not increase, as higher inflation reduces the value of money. As prices rise, the same amount of currency can buy fewer goods and services, reducing its purchasing power.

D: The rate of unemployment will even decrease in the short run as increased Aggregate demand leads to more employment opportunities.

30-C:

Fiscal Policy: Increase budget deficit

Monetary Policy: Decrease interest rate

This combination of policies is most likely to increase output because:

Fiscal Policy:

- Increasing the budget deficit means the government is spending more or cutting taxes, injecting more money into the economy.
- This increases aggregate demand, leading to higher output.

Monetary Policy:

- Decreasing interest rates makes borrowing cheaper, encouraging households and businesses to invest and consume more as costs of borrowing decrease.
- This will increase Aggregate demand, leading to higher output.